

STOCK UPDATE

Result Update - Q4FY2026

SECTOR

Healthcare

COMPANY DETAILS

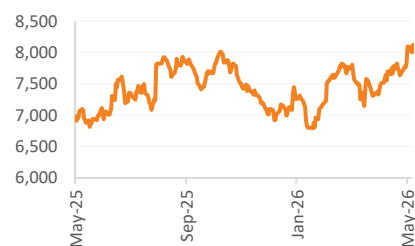
Market cap:	Rs. 1,05,128 cr
52-week high/low:	Rs. 8,440/6,696
NSE volume: (No of shares)	4.5 lakh
BSE code:	500257
NSE code:	APOLLOHOSP
Free float: (No of shares)	10.3 cr

Source: NSE, BSE, Mirae Asset Sharekhan Research

SHAREHOLDING (%)

Promoters	28.0
FII	42.6
DII	22.8
Others	6.6

Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE CHART


Source: NSE, BSE, Mirae Asset Sharekhan Research

PRICE PERFORMANCE

(%)	1m	3m	6m	12m
Absolute	4.9	6.3	8.8	16.9
Relative to Sensex	9.0	16.0	20.9	24.1

Source: Mirae Asset Sharekhan Research, Bloomberg

Reco/View: **BUY**

CMP: **Rs. 8,362**

Price Target: **Rs. 9,677**
Quick Snapshot

- Revenue grew 18% y-o-y to ~Rs. 6,605 crore, with EBITDA up ~31% and PAT rising ~33%, on robust traction in core healthcare services, diagnostics, and retail health.
- Apollo 24/7 is nearing breakeven and AHLL's turnaround into profitability is led by the diagnostics business
- Apollo added two owned hospitals, 645 net capacity beds and 59 net operational beds in Q4, with four hospitals and ~1,400 beds added over the year, all in major metros, maintaining high utilisation and steady growth
- We value the stock at ~45x FY28E EPS of Rs.215, implying a price target of Rs. 9,677, with a Buy rating.

Result overview

- Q4FY26 Scorecard:** Q4FY26 numbers came in strong, with consolidated revenue increasing by ~18% y-o-y to ~Rs 6,605 crore, EBITDA rising around 31% to roughly Rs 1,011 crore, and PAT growing 36% to ~Rs 529 crore. Performance was supported by solid traction in its core healthcare services, diagnostics, and retail health segments. The company also declared a Rs 10 per share dividend.
- Apollo 24/7 — Narrowing losses, nearing breakeven:** Digital platform's cost burden fell sharply in Q4FY26, with total Apollo 24/7 expenses declining from Rs.160 crore a year ago to Rs. 96 crore — a reduction of roughly RS.64 crore or ~40%. This performance is despite Rs. 23 crore non-cash ESOP charge. Going forward, management expects the platform to turn operationally breakeven (ex-ESOP) by Q1FY27, with full breakeven (including ESOP) by Q3FY27. Online pharmacy transactions grew 26% over the year, and the physical Apollo Pharmacy footprint reached 7,289 outlets — 663 more than the prior year.
- Apollo Health and Lifestyle (AHLL) — Diagnostics driving turnaround:** Apollo Health & Lifestyle had a standout quarter, with revenues up 24% and EBITDA surging 58% y-o-y — helping aid the segment to turn from a loss to profitability. The diagnostics vertical was the primary driver, with a 52% jump in diagnostics revenue reflecting improved throughput, better capacity utilisation, and operating leverage kicking in at scale. Retail health operations also contributed to turning into profitability.

Our Call

The company continues to add beds in a staggered manner, maintaining high utilisations, resulting in good operating efficiencies. Given its brand value, the successful strategic expansions over the years and improving performance of the diagnostic and digital business, we marginally revise our estimates upwards and value the stock at 45x on FY28E EPS of Rs. 215 and arrive at a PT of Rs. 9,677 and maintain a Buy rating.

Key Risks

Execution pressure from simultaneous ramp-ups; near-term margin drag from pre-operational assets; regulatory pricing interventions.

Valuation

	Rs cr				
Year-end Mar (Rs mn)	FY24A	FY25A	FY26A	FY27E	FY28E
Sales	19,059	21,794	25,229	29,003	34,188
Sales growth (%)	15%	14%	16%	15%	18%
EBITDA	2,357	3,021	3,769	4,118	5,299
Depreciation	687	758	876	944	1,009
PAT	911	1,418	1,977	2,213	3,092
ROE (%)	9.7	12.3	12	11.3	13.5
ROCE (%)	7.8	9.9	11	14.2	16.9
P/E (x)	100.4	65.6	59.1	54	38.6

Source: Company; Mirae Asset Sharekhan estimates

Results

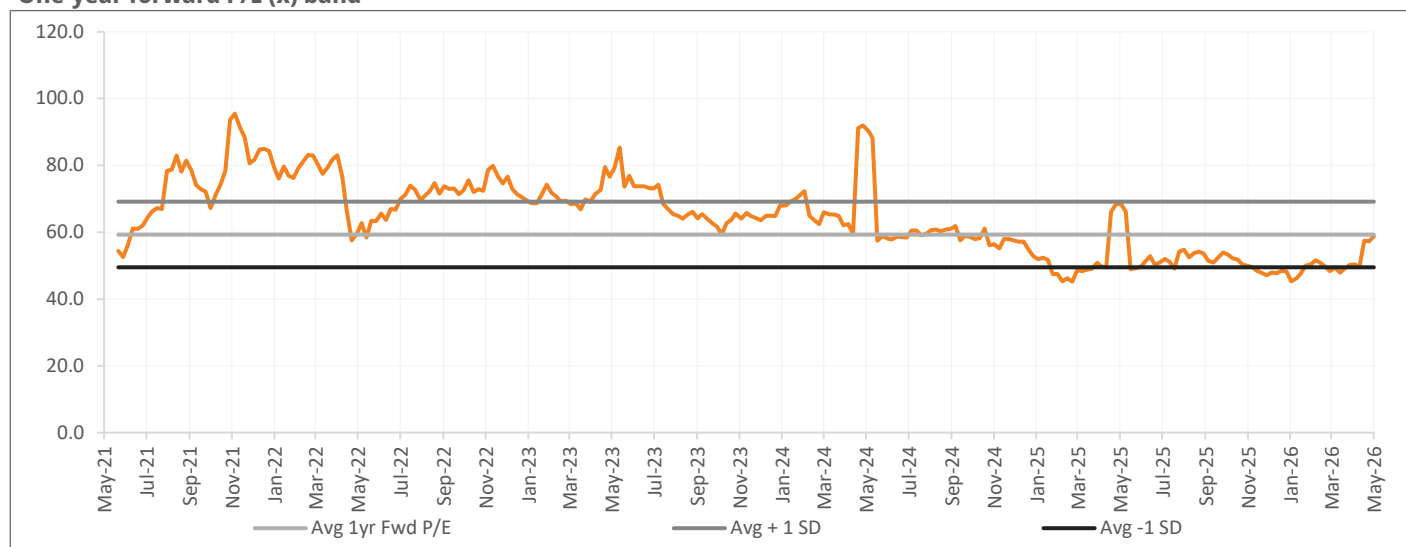
Particulars	Q4FY26	Q4FY25	Y-o-Y %	Q3FY26	Rs cr
					Q-o-Q %
Net Sales	6605.5	5592.2	18%	6477.4	2%
Operating costs	5594.5	4822.5	16%	5512.1	1%
EBITDA	1011	769.7	31%	965.3	5%
Depreciation	224.4	211	6%	219.2	2%
PAT	551.3	414.5	33%	516.3	7%
EBITDA %	15.3%	13.8%	154.2	14.9%	40.3
PAT %	8.3%	4.4%	397.1	8.0%	37.5

Source: Company; Mirae Asset Sharekhan Research

- Two owned hospitals, 645 capacity census beds (net) and 59 operational census beds (net) added during the quarter
- Margins improvements y-o-y was aided by significant improvement in Apollo 24*7 and AHLL's turnaround.
- Faster growth in EBITDA as compared to revenue suggests that operating leverage improved during the quarter. That, along with margin expansion, points to better cost control and stronger execution across the business.

Management commentary:

- Four new hospitals were added during the year including roughly 1,400 beds across major metro locations.
- Going forward, the company is looking to add more beds in a staggered manner thus keeping steady growth in the core businesses along with a more defined strategy to streamline and reshape the portfolio.
- Apollo Health Co also crossed Rs 10,000 crore in annual revenue for the first time, while healthcare services had already achieved that milestone in FY25.
- Apollo also noted the combination of Apollo Cradle and Fertility with Cloudnine as a strategic step in its maternity and fertility platform
- Company highlighted a strategic restructuring of its omni-channel pharmacy and digital health business to sharpen focus on long-term value creation.

One-year forward P/E (x) band


Source: Company; Mirae Asset Sharekhan Research

Given its brand value, the successful strategic expansions over the years and improving performance of the diagnostic and digital business, we marginally revise our estimates upwards and value the stock at 45x on FY28E EPS of Rs. 215 and arrive at a PT of Rs. 9,677 and maintain a Buy rating.

Additional Data

Top 10 shareholders

Sr. No.	Holder Name	Holding (%)
1	PCR Investments Ltd	18.93
2	Vanguard Group Inc/The	3.75
3	Blackrock Inc	3.45
4	Republic of Singapore	2.10
5	FundRock Management Co SA	2.08
6	Reddy Suneeta	2.04
7	Franklin Resources Inc	1.99
8	SBI Funds Management Ltd	1.95
9	Mirae Asset Financial Group	1.91
10	Axis Asset Management Co Ltd/India	1.73

Source: Bloomberg

Key management personnel

Name	Designation
Dr Prathap Chandra Reddy	Chairman
Suneeta Reddy	MD
Krishnan Akhileswaran	CFO

Source: Company Website

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